

a creditors' deed must forbear to act, or their proceedings may be overridden by a subsequent adjudication of bankruptcy. However, the trustees may begin the exercise of their office at an earlier day if they can only satisfy themselves either that all the creditors have concurred or acquiesced in the deed, or that such as have not cannot either collectively or individually prove a debt or debts in the requisite amount to support an adjudication of bankruptcy.

Now that the distinction between traders and non-traders has substantially been abolished, what before was a fraudulent conveyance as to traders only, will be a fraudulent conveyance as to non-traders also (*d*).

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* SECTION II.

WHAT CREDITORS' DEEDS ARE REVOCABLE.

1. **Irrevocable trusts.** — The existence of a debt is always a sufficient consideration to support an assurance as valid and irrevocable as against the grantor (*a*); indeed the assurance will almost always assume the form either of a conveyance in satisfaction or part satisfaction of the debt (in which case the extinction or partial extinction of the debt forms the consideration), or of a security accompanied with a forbearance to sue (*b*). Thus if A. be indebted to B., and convey an estate to him by way of security, the deed, though no money passed at the time, and there was no previous arrangement, cannot be revoked by A., but B. may insist on the benefit of it (*c*). And if the creditor be not a party to

(*d*) *In re Wood*, 7 L. R. Ch. App. 302.

(*a*) See *Rice v. Rice*, 2 Drew. 84. But a conveyance by way of security from a debtor to his creditor, where there is no pressure, may be a fraudulent preference within the meaning of the Bankruptcy Acts; *Goodricke v. Taylor*, 2 H. & M. 380; and, if the debtor's whole property be included, an act of bankruptcy; *Ex parte Trevor*, 1 Ch. D. 297; [and see 46 & 47 Vict. c. 52, s. 48.]

(*b*) It has been suggested, however, that a mere agreement to give a mortgage for a bygone debt, unaccompanied by any express stipulation as to forbearance, cannot be enforced. See *Crofts v. Feuge*, 4 Ir. Ch. Rep. 316; *Woodroffe v. Johnson*, 4 Ir. Ch. Rep. 319.

(*c*) *Siggers v. Evans*, 5 Ell. & Bl. 367; *Montefiore v. Browne*, 7 H. L. Cas. 241; *Morris v. Venables*, 15 W. R. 2.